FROM THE

EDITOR-IN-CHIEF

Call it a presidency on steroids. Since his inauguration on January 20, Donald Trump has issued 70 executive orders to date and more in the offing. The important ones are designed to rearrange the world order we have been accustomed to since World War II. As is his wont, he has performed a series of contra moves. He has withdrawn America from key areas on the world stage by leaving the Paris Climate Accord and WHO, continues to belittle Europe and is making the WTO redundant in pursuit of his obsession with reciprocal tariffs. On the other side, he has made expansionist noises about acquiring Greenland, Gaza and the Panama Canal, and even making Canada the 51st state of the US. He's left Ukraine out of the initial negotiation with Russia to end their two-year-old war and shockingly declared it the aggressor.

Nevertheless, as far as trade is concerned, there is some method to Trump's madness. Overall, US trade deficits had risen to $918.4 billion in 2024. Whittling that down is central to his 'Make America Great Again' or MAGA project, at least its economic part. With its own positive trade balance with the US, which rose to $45.7 billion by 2024, India has reason to worry. But amidst the storm, it spotted eddies and currents that could be navigated and mastered to its relative advantage. At one level, it was about softening an inevitable blow. But the anticipatory step forward it chose to take, with Prime Minister Narendra Modi's Feb. 12-13 visit, has crafted novel opportunities out of the crisis.



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We have a brand-new bilateral agreement, the very first Trump has signed in his second term: the 'US-India COMPACT for the 21st Century'. That acronym, shorthand for 'Catalyzing Opportunities for Military Partnership, Accelerated Commerce & Technology', reveals the sweeping extent of what we call a Brave New Deal. Undoubtedly, it's risk-laden and the radar buzzes with turbulence warnings. Unlike the Roosevelt maxim, Trump does not speak softly and still carries a big stick. But his unpredictable and dizzying moves, a blur of braggadocio and occasional sweet talk, are seen as maximal posturing meant to extract the best deal; finally, even China and Russia may strike decent bargains. Being ahead in the game is vital to securing India's stakes. Hence Modi's proactive gambit of cooperation.

It rests on four major pillars: trade, energy, migration and defence. Initial outcomes this year itself are to demonstrate the level of trust. Though the US is India's largest trading partner, our outgoing goods and services make up a mere 2.7 per cent of its imports and yet Trump had put India "right on top" of the list of countries with the highest tariffs. Hoping to soften his tone, the Union budget exhibited India's willingness to lower import bars, beginning with showpiece goods like Harley-Davidsons and Ducatis, Bourbon whisky, and creating a favourable environment on Tesla's electric cars. Then, when the two leaders met at the Oval Office, India pushed to deepen and expand the trade relationship beyond the vexatious question of tariffs. So, they agreed to negotiate the first tranche of "a mutually beneficial, multi-sector" Bilateral Trade Agreement by the fall of 2025. An apt way to minimise the damage of Trump's reciprocal tariff drive.

The fine print is still work in progress; the canvas is fuzzy on whether we can expect an omnibus readjustment in tariffs or sector-specific arrangements. However, the two leaders envisaged an expansion of bilateral trade to $500 billion by 2030, a mammoth 157 per cent boost over the $194.6 billion mark recorded in 2023. For years, the widening trade gap India enjoyed had rested on protective fencing favouring domestic industry. Expect crucial parts of it to be dismantled, giving the Modi government reason to prod Indian corporates to shape up and compete globally if they must be part of the global value chain.

Significantly, India has promised to make the US our largest source of oil and gas, displacing the Gulf and Russia. It also struck off the liability clauses that kept American firms from investing in India's nuclear energy sector. The deal sweetener was illegal immigration. Widely publicised deportments, complete with manacles, were testing the limits of global covenants as well as local sentiments. India has agreed to accept its illegal migrants, saying both countries would take decisive action against enabling networks. But, as part of the deal, Modi pushed for secure mobility frameworks for legal migrants: students and professionals.

Last but not least among the four pillars was a 10-year Framework for US-India Major Defence Partnership. Part of this cavalcade are Javelin anti-tank missiles, Stryker armoured vehicles and the F-35, the world's best stealth fighter jet, also the most expensive at about $100 million apiece. The agreement revealed the contours of what's in it for India, affirming that it entailed "joint development and production". Also, most critically, "transfer of technology".

In this issue, Group Editorial Director Raj Chengappa analyses how India has deftly parlayed off a 'give' now to yield many 'takes' in the future. Modi's friendly sortie has convinced Trump to look beyond rivalrous competition toward mutual benefit. As he told Trump at their joint press conference: "Your motto is MAGA, our vision of Viksit Bharat by 2047 is MIGA, Make India Great Again.... MAGA plus MIGA becomes a 'MEGA' partnership...." That seemed like both a hope and a prayer. However, this could be a moment, with China's spectacular rise and the cosying up of Russia with the US, when India ends its ambivalence and embraces America to be on the right side of history.

(Aroon Purie)